

Clark County, Arkansas

Financial and Compliance Report

December 31, 2016

LEGISLATIVE JOINT AUDITING COMMITTEE



CLARK COUNTY, ARKANSAS
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FOR THE YEAR ENDED DECEMBER 31, 2016

Financial and Compliance Report

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Arkansas

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Sen. Lance Eads
Senate Vice Chair



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House Chair
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Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE ARKANSAS LEGISLATIVE AUDIT

Financial and Compliance Report

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

A priority of Arkansas Legislative Audit is to assist county government officials by promoting sound financial management and accountability of government resources. The Legislative Auditor reports on the fiscal affairs of county governments, as well as compliance with relevant state laws and observance of good business practices to provide accountability for tax dollars expended to support government operations.

We have performed certain limited procedures with respect to regulatory basis financial information and compliance with certain state laws and accepted accounting practices for Clark County, Arkansas, as of and for the year ended December 31, 2016, and have issued our report thereon dated December 20, 2017. Management of the County is responsible for maintaining the financial records and complying with state laws and accepted accounting practices.

The findings contained in this section relate to the following officials who held office during 2016:

County Judge: Ron Daniell
Treasurer: Judy Beth Hutcherson
Sheriff and Tax Collector: Jason Watson
County Clerk: Rhonda Cole
Circuit Clerk: Martha Smith
Assessor: Kasey Summerville
County Librarian: Judy Golden

We evaluated the County's compliance with certain state laws concerning general accounting, budgeting, purchasing, and investing and depositing of public funds.

Our procedures indicated that the offices of **County Judge, Treasurer, County Clerk, Circuit Clerk, Assessor, and Librarian** were in substantial compliance with Arkansas fiscal and financial laws. Noncompliance with state law and accepted accounting practices was noted in the offices of **Sheriff and Tax Collector**.

Sheriff

The Sheriff's office again was not in substantial compliance with Ark. Code Ann. §§ 14-25-107, -112, in that the Commissary account was not properly reconciled to the journal for receipts, disbursements, and ending balance. Additionally, ending cash balances were not identified with inmate account balances or amounts due the county treasury.

The Sheriff's office again did not pay over to the county treasurer on the first of each month, or within ten working days thereafter all funds belonging to the county from the commissary account in noncompliance with Ark. Code Ann. § 26-39-201.

The Sheriff's office again failed to maintain proper accounting records for drug enforcement funds, as required by Ark. Code Ann. §§ 14-21-201 – 204.

Tax Collector

The Tax Collector waived penalties, interest, and costs totaling \$1,603 for tax-delinquent lands, although the penalties, interest, and costs were not assessed in error, in noncompliance with Ark. Code Ann. § 26-37-302.

This report is intended solely for the information and use of the Legislative Joint Auditing Committee, local County government, state executive and oversight management, and other parties as required by Arkansas Code, and is not intended to be and should not be used by anyone other than these specified parties. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

ARKANSAS LEGISLATIVE AUDIT

A handwritten signature in dark ink, appearing to read "Roger A. Norman". The signature is fluid and cursive, with the first name "Roger" being more prominent.

Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

Little Rock, Arkansas
December 20, 2017
LOCO01016

CLARK COUNTY, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2016
(UNAUDITED)

Exhibit A

	General	Road	Other Funds in the Aggregate
ASSETS			
Cash and cash equivalents	\$ 3,011,801	\$ 4,379,715	\$ 4,027,171
Accounts receivable	648,453	160,238	247,825
Interfund receivables		91,000	
	<u>3,660,254</u>	<u>4,630,953</u>	<u>4,274,996</u>
TOTAL ASSETS	<u>\$ 3,660,254</u>	<u>\$ 4,630,953</u>	<u>\$ 4,274,996</u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 74,751	\$ 36,807	\$ 57,431
Interfund payables	91,000		
Settlements pending	165	18	1,150,570
Total Liabilities	<u>165,916</u>	<u>36,825</u>	<u>1,208,001</u>
Fund Balances:			
Restricted	835	4,594,128	2,431,757
Committed	299,516		580,730
Assigned	860,085		54,508
Unassigned	2,333,902		
Total Fund Balances	<u>3,494,338</u>	<u>4,594,128</u>	<u>3,066,995</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 3,660,254</u>	<u>\$ 4,630,953</u>	<u>\$ 4,274,996</u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2016
(UNAUDITED)

Exhibit B

	General	Road	Other Funds in the Aggregate
REVENUES			
State aid	\$ 701,677	\$ 1,468,691	\$ 136,329
Federal aid	58,448	14,992	1,440
Property taxes	928,409	207,256	501,170
Sales taxes	1,661,379	1,501,631	1,629,430
Fines, forfeitures, and costs	377,930		166,365
Interest	16,949	27,138	15,730
Officers' fees	59,203		124,266
Sanitation fees	369,849		
911 surcharges			267,777
Prisoner care	95,352		
Treasurer's commission	131,178		21,370
Collector's commission	170,319		56,300
Taxes apportioned - Assessor's salary and expense	339,619		
Other	471,264	154,730	50,899
TOTAL REVENUES	5,381,576	3,374,438	2,971,076
Less: Treasurer's commission	56,573	46,214	16,153
NET REVENUES	5,325,003	3,328,224	2,954,923
EXPENDITURES			
Current:			
General government	1,752,445		148,357
Law enforcement	2,621,175		517,264
Highways and streets		3,377,521	
Public safety	74,632		189,074
Sanitation	757,485		
Health	78,621		
Recreation and culture	19,500		380,409
Social services	108,633		
Industrial development			1,440
TOTAL EXPENDITURES	5,412,491	3,377,521	1,236,544

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2016
(UNAUDITED)

Exhibit B

	General	Road	Other Funds in the Aggregate
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	\$ (87,488)	\$ (49,297)	\$ 1,718,379
OTHER FINANCING SOURCES (USES)			
Transfers in			51,000
Transfers out	(51,000)		
Sales taxes remitted to Economic Development Corporation			(1,591,879)
TOTAL OTHER FINANCING SOURCES (USES)	(51,000)		(1,540,879)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(138,488)	(49,297)	177,500
FUND BALANCES - JANUARY 1	3,632,826	4,643,425	2,889,495
FUND BALANCES - DECEMBER 31	\$ 3,494,338	\$ 4,594,128	\$ 3,066,995

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2016
(UNAUDITED)

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES						
State aid	\$ 685,495	\$ 701,677	\$ 16,182	\$ 1,331,000	\$ 1,468,691	\$ 137,691
Federal aid	63,000	58,448	(4,552)	15,200	14,992	(208)
Property taxes	793,300	928,409	135,109	188,000	207,256	19,256
Sales taxes	1,545,000	1,661,379	116,379	1,400,000	1,501,631	101,631
Fines, forfeitures, and costs	312,500	377,930	65,430			
Interest	12,700	16,949	4,249	18,000	27,138	9,138
Officers' fees	38,650	59,203	20,553			
Sanitation fees	355,000	369,849	14,849			
Prisoner care	52,500	95,352	42,852			
Treasurer's commission	120,000	131,178	11,178			
Collector's commission	155,000	170,319	15,319			
Taxes apportioned - Assessor's salary and expense	300,000	339,619	39,619			
Other	440,537	471,264	30,727	146,500	154,730	8,230
TOTAL REVENUES	4,873,682	5,381,576	507,894	3,098,700	3,374,438	275,738
Less: Treasurer's commission		56,573	(56,573)		46,214	(46,214)
NET REVENUES	4,873,682	5,325,003	451,321	3,098,700	3,328,224	229,524
EXPENDITURES						
Current:						
General government	2,071,143	1,752,445	318,698			
Law enforcement	2,753,270	2,621,175	132,095			
Highways and streets				4,450,356	3,377,521	1,072,835
Public safety	83,275	74,632	8,643			
Sanitation	1,025,516	757,485	268,031			
Health	78,845	78,621	224			
Recreation and culture	19,500	19,500	0			
Social services	116,239	108,633	7,606			
TOTAL EXPENDITURES	6,147,788	5,412,491	735,297	4,450,356	3,377,521	1,072,835

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2016
(UNAUDITED)

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	\$ (1,274,106)	\$ (87,488)	\$ 1,186,618	\$ (1,351,656)	\$ (49,297)	\$ 1,302,359
OTHER FINANCING SOURCES (USES)						
Transfers in	30,000		(30,000)			
Transfers out	(51,000)	(51,000)				
TOTAL OTHER FINANCING SOURCES (USES)	(21,000)	(51,000)	(30,000)			
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(1,295,106)	(138,488)	1,156,618	(1,351,656)	(49,297)	1,302,359
FUND BALANCES - JANUARY 1	2,650,000	3,632,826	982,826	3,500,000	4,643,425	1,143,425
FUND BALANCES - DECEMBER 31	\$ 1,354,894	\$ 3,494,338	\$ 2,139,444	\$ 2,148,344	\$ 4,594,128	\$ 2,445,784

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2016
 (UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS							
	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost	County Public Library
ASSETS								
Cash and cash equivalents	\$ 40,820	\$ 314,924	\$ 3,549	\$ 46,412	\$ 30,087	\$ 12,683	\$ 28,370	\$ 181,523
Accounts receivable	1,765	56,311	370	1,400	20	1,166	8,877	9,330
TOTAL ASSETS	\$ 42,585	\$ 371,235	\$ 3,919	\$ 47,812	\$ 30,107	\$ 13,849	\$ 37,247	\$ 190,853
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable	\$ 1,162						\$ 1,710	\$ 2,829
Settlements pending								22
Total Liabilities	1,162						1,710	2,851
Fund Balances:								
Restricted	41,423	\$ 371,235	\$ 3,919	\$ 47,812	\$ 30,107	\$ 13,849	35,537	167,460
Committed								
Assigned								20,542
Total Fund Balances	41,423	371,235	3,919	47,812	30,107	13,849	35,537	188,002
TOTAL LIABILITIES AND FUND BALANCES	\$ 42,585	\$ 371,235	\$ 3,919	\$ 47,812	\$ 30,107	\$ 13,849	\$ 37,247	\$ 190,853

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2016
 (UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS							
	Support Collection Costs	Breathalyzer	District Court Jail Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender	Drug Court
ASSETS								
Cash and cash equivalents	\$ 16,735	\$ 11,045	\$ 93,498	\$ 30,402	\$ 945,043	\$ 26,129	\$ 303,990	\$ 8,072
Accounts receivable	162	163	4,340	12	5,457	5,884	3,730	109
TOTAL ASSETS	<u>\$ 16,897</u>	<u>\$ 11,208</u>	<u>\$ 97,838</u>	<u>\$ 30,414</u>	<u>\$ 950,500</u>	<u>\$ 32,013</u>	<u>\$ 307,720</u>	<u>\$ 8,181</u>
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable					\$ 55		\$ 303	
Settlements pending								
Total Liabilities					<u>55</u>		<u>303</u>	
Fund Balances:								
Restricted	\$ 16,897	\$ 11,208	\$ 63,872	\$ 30,414	950,445	\$ 32,013	307,417	\$ 8,181
Committed								
Assigned			33,966					
Total Fund Balances	<u>16,897</u>	<u>11,208</u>	<u>97,838</u>	<u>30,414</u>	<u>950,445</u>	<u>32,013</u>	<u>307,417</u>	<u>8,181</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 16,897</u>	<u>\$ 11,208</u>	<u>\$ 97,838</u>	<u>\$ 30,414</u>	<u>\$ 950,500</u>	<u>\$ 32,013</u>	<u>\$ 307,720</u>	<u>\$ 8,181</u>

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2016
 (UNAUDITED)

Schedule 1

SPECIAL REVENUE FUNDS								
	Juvenile Probation	Voting System Grant	Circuit Clerk Commissioner's Fee	Clark County Marina	Jail Maintenance	Economic Development Corporation of Clark County (EDCCC)	Office of Emergency Services	Antoine Hardwoods
ASSETS								
Cash and cash equivalents	\$ 4,170	\$ 12	\$ 2,526	\$ 24,560	\$ 145,568		\$ 48,964	\$ 1
Accounts receivable			1	1,504	9,327	\$ 135,013		
TOTAL ASSETS	\$ 4,170	\$ 12	\$ 2,527	\$ 26,064	\$ 154,895	\$ 135,013	\$ 48,964	\$ 1
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable	\$ 829				\$ 50,543			
Settlements pending					22			
Total Liabilities	829				50,565			
Fund Balances:								
Restricted	3,341	\$ 12	\$ 2,527	\$ 26,064		\$ 135,013	\$ 48,964	\$ 1
Committed					104,330			
Assigned								
Total Fund Balances	3,341	12	2,527	26,064	104,330	135,013	48,964	1
TOTAL LIABILITIES AND FUND BALANCES	\$ 4,170	\$ 12	\$ 2,527	\$ 26,064	\$ 154,895	\$ 135,013	\$ 48,964	\$ 1

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2016
 (UNAUDITED)

Schedule 1

	SPECIAL REVENUE FUNDS						CAPITAL PROJECTS FUND
	Public Safety	Drug Enforcement	Rural Fire Departments	Automated Records Systems Grant	Communication Facility and Equipment	Degray Fire Department Grant	Jail Construction
ASSETS							
Cash and cash equivalents	\$ 1,047	\$ 5,507		\$ 31,900	\$ 35,208	\$ 7,500	\$ 476,400
Accounts receivable	2		\$ 2,882				
TOTAL ASSETS	\$ 1,049	\$ 5,507	\$ 2,882	\$ 31,900	\$ 35,208	\$ 7,500	\$ 476,400
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable							
Settlements pending							
Total Liabilities							
Fund Balances:							
Restricted	\$ 1,049	\$ 5,507	\$ 2,882	\$ 31,900	\$ 35,208	\$ 7,500	
Committed							\$ 476,400
Assigned							
Total Fund Balances	1,049	5,507	2,882	31,900	35,208	7,500	476,400
TOTAL LIABILITIES AND FUND BALANCES	\$ 1,049	\$ 5,507	\$ 2,882	\$ 31,900	\$ 35,208	\$ 7,500	\$ 476,400

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2016
 (UNAUDITED)

Schedule 1

	AGENCY FUNDS						
	Treasurer's Accounts	Collector's Accounts	Sheriff's Accounts	County Clerk's Accounts	Circuit Clerk's Accounts	County Judge's Accounts	Totals
ASSETS							
Cash and cash equivalents	\$ 768,211	\$ 67,943	\$ 28,139	\$ 132,969	\$ 119,523	\$ 33,741	\$ 4,027,171
Accounts receivable							247,825
TOTAL ASSETS	\$ 768,211	\$ 67,943	\$ 28,139	\$ 132,969	\$ 119,523	\$ 33,741	\$ 4,274,996
LIABILITIES AND FUND BALANCES							
Liabilities:							
Accounts payable							\$ 57,431
Settlements pending	\$ 768,211	\$ 67,943	\$ 28,139	\$ 132,969	\$ 119,523	\$ 33,741	1,150,570
Total Liabilities	768,211	67,943	28,139	132,969	119,523	33,741	1,208,001
Fund Balances:							
Restricted							2,431,757
Committed							580,730
Assigned							54,508
Total Fund Balances							3,066,995
TOTAL LIABILITIES AND FUND BALANCES	\$ 768,211	\$ 67,943	\$ 28,139	\$ 132,969	\$ 119,523	\$ 33,741	\$ 4,274,996

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2016
(UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS								
	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost	County Public Library	Support Collection Costs
REVENUES									
State aid				\$ 7,834	\$ 3,280			\$ 29,068	
Federal aid									
Property taxes								247,766	
Sales taxes									
Fines, forfeitures, and costs			\$ 4,149	13,523					
Interest	\$ 203	\$ 1,920	22	262	192	\$ 48	\$ 190	1,023	\$ 96
Officers' fees						12,210	105,594		3,045
911 surcharges									
Treasurer's commission	21,370								
Collector's commission		56,300							
Other		69					1,063	2,347	
TOTAL REVENUES	21,573	58,289	4,171	21,619	3,472	12,258	106,847	280,204	3,141
Less: Treasurer's commission	3	28	62	190	49	174	1,505	3,908	45
NET REVENUES	21,570	58,261	4,109	21,429	3,423	12,084	105,342	276,296	3,096
EXPENDITURES									
Current:									
General government	18,561	20,690			2,832	10,297	93,147		
Law enforcement			1,628	8,091					
Public safety									
Recreation and culture								338,739	
Industrial development									
TOTAL EXPENDITURES	18,561	20,690	1,628	8,091	2,832	10,297	93,147	338,739	
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	3,009	37,571	2,481	13,338	591	1,787	12,195	(62,443)	3,096
OTHER FINANCING SOURCES (USES)									
Transfers in									
Sales taxes remitted to Economic Development Corporation									
TOTAL OTHER FINANCING SOURCES (USES)									
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	3,009	37,571	2,481	13,338	591	1,787	12,195	(62,443)	3,096
FUND BALANCES - JANUARY 1	38,414	333,664	1,438	34,474	29,516	12,062	23,342	250,445	13,801
FUND BALANCES - DECEMBER 31	\$ 41,423	\$ 371,235	\$ 3,919	\$ 47,812	\$ 30,107	\$ 13,849	\$ 35,537	\$ 188,002	\$ 16,897

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2016
(UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS							
	Breathalyzer	District Court Jail Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender	Drug Court	Juvenile Probation
REVENUES								
State aid			\$ 1,914			\$ 2,207	\$ 4,500	
Federal aid								
Property taxes								
Sales taxes								
Fines, forfeitures, and costs	\$ 1,284	\$ 68,110		\$ 5,384	\$ 47,283	29,851	1,550	
Interest	63	382	181		161	1,839	63	\$ 16
Officers' fees								
911 surcharges				267,777				
Treasurer's commission								
Collector's commission								
Other								
TOTAL REVENUES	1,347	68,492	2,095	273,161	47,444	33,897	6,113	16
Less: Treasurer's commission	19	997	30	3,345	605	428	22	
NET REVENUES	1,328	67,495	2,065	269,816	46,839	33,469	6,091	16
EXPENDITURES								
Current:								
General government								
Law enforcement	326	3,623			45,751	26,104	7,761	3,788
Public safety			740	140,634				
Recreation and culture								
Industrial development								
TOTAL EXPENDITURES	326	3,623	740	140,634	45,751	26,104	7,761	3,788
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	1,002	63,872	1,325	129,182	1,088	7,365	(1,670)	(3,772)
OTHER FINANCING SOURCES (USES)								
Transfers in		40,000						6,000
Sales taxes remitted to Economic Development Corporation								
TOTAL OTHER FINANCING SOURCES (USES)		40,000						6,000
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	1,002	103,872	1,325	129,182	1,088	7,365	(1,670)	2,228
FUND BALANCES - JANUARY 1	10,206	(6,034)	29,089	821,263	30,925	300,052	9,851	\$ 1,113
FUND BALANCES - DECEMBER 31	\$ 11,208	\$ 97,838	\$ 30,414	\$ 950,445	\$ 32,013	\$ 307,417	\$ 8,181	\$ 3,341

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2016
 (UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS								
	Circuit Clerk Commissioner's Fee	Clark County Marina	Jail Maintenance	Juvenile Work Supervision	Economic Development Corporation of Clark County (EDCCC)	Office of Emergency Services	Antoine Hardwoods	Public Safety	Drug Enforcement
REVENUES									
State aid			\$ 29,068			\$ 6,228			
Federal aid									
Property taxes			253,404						
Sales taxes					\$ 1,597,480				
Fines, forfeitures, and costs	\$ 191							\$ 424	
Interest	16	\$ 328	828	\$ 9		302		5	
Officers' fees									
911 surcharges									
Treasurer's commission									
Collector's commission									
Other		19,638	500						
TOTAL REVENUES	207	19,966	283,800	9	1,597,480	6,530		429	
Less: Treasurer's commission	6	296	3,980					6	
NET REVENUES	201	19,670	279,820	9	1,597,480	6,530		423	
EXPENDITURES									
Current:									
General government									
Law enforcement			390,473	11,374					\$ 1,000
Public safety						6,326			
Recreation and culture		41,670							
Industrial development									
TOTAL EXPENDITURES		41,670	390,473	11,374		6,326			1,000
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	201	(22,000)	(110,653)	(11,365)	1,597,480	204		423	(1,000)
OTHER FINANCING SOURCES (USES)									
Transfers in									5,000
Sales taxes remitted to Economic Development Corporation					(1,591,879)				
TOTAL OTHER FINANCING SOURCES (USES)					(1,591,879)				5,000
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	201	(22,000)	(110,653)	(11,365)	5,601	204		423	4,000
FUND BALANCES - JANUARY 1	2,326	48,064	214,983	11,365	129,412	48,760	\$ 1	626	1,507
FUND BALANCES - DECEMBER 31	\$ 2,527	\$ 26,064	\$ 104,330	\$ 0	\$ 135,013	\$ 48,964	\$ 1	\$ 1,049	\$ 5,507

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2016
(UNAUDITED)

Schedule 2

	SPECIAL REVENUE FUNDS						CAPITAL PROJECTS FUND	
	Rural Fire Departments	Automated Records Systems Grant	Communication Facility and Equipment	Hillstern Farms Grant	Bierne Fire Department Grant	Degray Fire Department Grant	Jail Construction	Totals
REVENUES								
State aid		\$ 34,730			\$ 10,000	\$ 7,500		\$ 136,329
Federal aid				\$ 1,440				1,440
Property taxes								501,170
Sales taxes	\$ 31,950							1,629,430
Fines, forfeitures, and costs								166,365
Interest			\$ 58				\$ 2,139	15,730
Officers' fees			3,417					124,266
911 surcharges								267,777
Treasurer's commission								21,370
Collector's commission								56,300
Other			27,282					50,899
TOTAL REVENUES	31,950	34,730	30,757	1,440	10,000	7,500	2,139	2,971,076
Less: Treasurer's commission	455							16,153
NET REVENUES	31,495	34,730	30,757	1,440	10,000	7,500	2,139	2,954,923
EXPENDITURES								
Current:								
General government		2,830						148,357
Law enforcement			17,345					517,264
Public safety	31,374				10,000			189,074
Recreation and culture				1,440				380,409
Industrial development								1,440
TOTAL EXPENDITURES	31,374	2,830	17,345	1,440	10,000			1,236,544
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	121	31,900	13,412			7,500	2,139	1,718,379
OTHER FINANCING SOURCES (USES)								
Transfers in								51,000
Sales taxes remitted to Economic Development Corporation								(1,591,879)
TOTAL OTHER FINANCING SOURCES (USES)								(1,540,879)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	121	31,900	13,412			7,500	2,139	177,500
FUND BALANCES - JANUARY 1	2,761		21,796				474,261	2,889,495
FUND BALANCES - DECEMBER 31	\$ 2,882	\$ 31,900	\$ 35,208	\$ 0	\$ 0	\$ 7,500	\$ 476,400	\$ 3,066,995

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2016
(UNAUDITED)

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Treasurer's Automation	Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain, and operate an automated accounting and record keeping system.
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to 10% of Collector's gross commissions to operate the Collector's office and to purchase, maintain, and operate an automated record keeping system.
Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive Circuit Court installment fees to be used for Circuit Court-related technology and to defray the cost of fine collection.
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees to be used solely for District Court-related technology.
Assessor's Amendment no.79	Ark. Code Ann. § 26-26-310 provides that 1% of the County's share of surplus funds from the Property Tax Relief Trust Fund be allocated to county assessors for the costs of administering Ark. Const. amend. 79.
County Clerk's Cost	Ark. Code Ann. §§ 21-6-413, 16-20-407 established fund to receive at least 35% of fees collected by county clerks to be used to purchase, maintain, and operate an automated records system, and to account for a \$2 marriage license fee to be used for operation of the County Clerk's office.
County Recorder's Cost	Ark. Code Ann. § 21-6-306 established fund to receive at least 25% of the fees collected by circuit clerks to be used to purchase, maintain, and operate automated records system.
County Public Library	Ark. Code Ann. § 13-2-404 established fund to account for property tax millage levied by the Quorum Court for the support, operation, and maintenance of the public library.
Support Collection Costs	Ark. Code Ann. § 9-10-109 established fund to receive fees to offset administrative costs in the Clerk's office.
Breathalyzer	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for the acquisition and operation of intoxication detection equipment.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2016
(UNAUDITED)

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
District Court Jail Fee	Ark. Code Ann. § 12-41-505 established fund to receive a \$20 booking and administration fee assessed on persons convicted of a felony or Class A misdemeanor to be used exclusively for the maintenance, operation, and capital expenditures of a county jail or regional detention facility. Clark County Ordinance no. 2009-2 (June 9, 2009) (pursuant to Ark. Code Ann. § 16-17-129) levies an additional fine, not exceed \$20. Funds shall be used exclusively to defray the cost of incarcerating county prisoners; construction, maintenance, and operation of the county jail; purchase and maintenance of jail equipment; and training, salaries, and certificate pay for jailers and deputy sheriffs.
Boating Safety	Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a county or for emergency rescue services if the county has not established a patrol.
CMRS 911 Board (Commercial Mobile Radio Service)	Ark. Code Ann. § 12-10-318 established fund to receive fees collected by commercial mobile radio service providers for 911 emergency services.
Victim/Witness	Ark. Code Ann. § 16-21-151 established fund to receive District Court costs levied to be used by Prosecuting Attorney for operating victim/witness program.
Public Defender	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for defense of indigents. Ark. Code Ann. § 17-19-301 authorized a bail bond fee of \$20 to be collected, which shall all be remitted to the Arkansas Public Defender Commission. Three dollars of each fee is remitted back to the county quarterly to be used to defray the operating expenses of the public defender office.
Drug Court	Ark. Code Ann. § 16-98-304 established fund to receive program user fees set by Drug Court Judges to be used for the benefit and administration of the Drug Court program.
Juvenile Probation	Ark. Code Ann. §§ 16-13-326, 9-27-367 established fund to receive juvenile fees, court costs, and fines to provide services and supplies to juveniles at the discretion of the Juvenile Division of Circuit Court.
Voting System Grant	Ark. Code Ann. § 19-5-1247 and Clark County Ordinance no. 2013-5 (August 13, 2013) established fund to receive grants from the County Voting System Grant Fund to purchase voting system equipment, programming and maintenance.
Circuit Clerk Commissioner's Fee	Ark. Code Ann. § 21-6-412 established fund to receive fee awarded, when appointed as Commissioner, for a sale of real or personal property under judicial decree. The funds are to be used to offset administrative costs associated with the performance of the Commissioner's duties and for general operations expenses of the office of Circuit Clerk.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2016
(UNAUDITED)

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Clark County Marina	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive a percentage of revenues from the sub-lease of property on DeGray Lake to be used for continued development of the public use areas on DeGray Lake as required by the Army Corp of Engineers.
Jail Maintenance	Clark County Ordinance no. 2009-6 (September 14, 2009) established fund to receive revenue collections from general purpose property tax. Expenditures are limited to maintenance of the jail.
Juvenile Work Supervision	Clark County Ordinance no. 2009-3 (October 15, 2009) established fund to receive Ross Foundation grant funds for reimbursable expenditures for supervision of juvenile probation program.
Economic Development Corporation of Clark County (EDCCC)	Established to receive and remit a one-half cent sales and use tax to EDCCC to be used solely for economic development. The sales tax was approved by voters on June 12, 2007, for a period of seven years, and subsequently, on March 11, 2014, for an additional seven year period.
Office of Emergency Services	Established to receive federal and state aid to be used for occurrence of a major emergency or disaster.
Antoine Hardwoods	Clark County Ordinance no. 2013-5 (August 13, 2013) established fund to receive Arkansas Economic Development Commission grant funding for industrial site improvements of Antoine Hardwoods, industrial manufacturer in Clark County.
Public Safety	Ark. Code Ann. § 27-34-108 established fund to receive 25% of the District Court fines collected for violations of the Child Passenger Protection Act to be used solely for promotion of public safety.
Drug Enforcement	Ark. Code Ann. § 14-21-201 established fund for direct expenses associated with the investigation of the criminal drug laws. Source of all funds shall be appropriated by the quorum court.
Rural Fire Departments	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive 1% of the proceeds from the 1% county wide sales tax through a special election and to distribute the funds equally among the rural fire departments of Clark County.
Automated Records Systems Grant	Clark County Ordinance no. 2014-10 (November 14, 2014) established fund to receive funding from the Automated Records Systems Fund Program managed by the Association of Arkansas Counties for hardware and software purchases to upgrade and enhance the county's automated records system.
Communication Facility and Equipment	Ark. Code Ann. §§ 21-6-307, 12-41-105 established fund to receive 25% of sheriff's fees collected and phone commission funds to be used for communications equipment and repair and to train operations staff.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2016
(UNAUDITED)

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Hillstern Farms Grant	Clark County Ordinance no. 2013-12 (November 12, 2013) and Ordinance no. 2014-05 (May 12, 2014) established fund to receive funding from the U. S. Department of Housing and Urban Development through the Arkansas Economic Development Commission to assist with equipment purchases in support of the location of Hillstern Farms.
Bierne Fire Department Grant	Bierne Fire Department received a grant through the County from the Arkansas Rural Development Commission, and the Arkansas Economic Development Commission Division of Rural Services for public safety expenditures.
Degray Fire Department Grant	Degray Fire Department received a grant through the County from the Arkansas Rural Development Commission, and the Arkansas Economic Development Commission Division of Rural Services for public safety expenditures.
Jail Construction	Clark County Ordinance no. 2005-01 (February 15, 2005) established fund with revenues from the sale of General Revenue promissory notes to be used for the expansion of current jail facilities or construction of a new jail.

Treasurer's accounts consist primarily of commissions and property taxes not yet distributed to appropriate entities.

Collector's accounts consist primarily of delinquent taxes not yet distributed to the various taxing units.

Sheriff's accounts consist primarily of fees settlement, bond, evidence, and inmate trust money.

County Clerk's accounts consist primarily of trust money.

Circuit Clerk's accounts consist of trust money and settlements due to Treasurer.

County Judge's account consists of sanitation fees collected but not yet settled with the Treasurer.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2016

1. A. Basis of Presentation - Regulatory Fund Accounting

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Ark. Code Ann. § 10-4-412. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to actual expenditures for the general and road funds; notes to financial statements; and a supplemental schedule of capital assets.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is used to account for and report all financial resources not accounted for and reported in another fund.

Road Fund - The Road Fund (Special Revenue Fund) is used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Road Fund accounts for and reports proceeds of state highway turnback, property taxes, and sales taxes that are restricted or committed for maintaining and constructing roads.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Special Revenue Funds presented on Schedules 1 and 2 are reported with other funds in the aggregate.

Capital Projects Funds - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlay, including the acquisition or construction of capital facilities and other capital assets. The Capital Projects Fund presented on Schedules 1 and 2 is reported with other funds in the aggregate.

Agency Funds - Agency Funds are used to report resources held by the reporting government in a purely custodial capacity (assets equal liabilities). The Agency Funds presented on Schedule 1 are reported with other funds in the aggregate.

B. Basis of Accounting

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Ark. Code Ann. § 10-4-412. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues generally are recognized as soon as they are both measurable and available except for Treasurer's and Collector's commission and Taxes apportioned – Assessor's salary and expense which are recognized when earned. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current period. However, most state aid received from the State Treasury is by state law revenue of the year in which it was received by the government. Expenditures generally are recorded when a liability is incurred. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2016

1. (Continued)

C. Assets, Liabilities, and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts, and certificates of deposit.

Settlements Pending

Settlements pending are considered fines, forfeitures, costs, fees, commissions, and trust funds that have not been transferred to the appropriate entities.

Fund Balance Classifications

1. Restricted fund balance – amounts that are restricted when constraints placed on the use of resources are either (a) externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments; or (b) imposed by law through constitutional provisions or enabling legislation.
2. Committed fund balance – amounts that can only be used for specific purposes pursuant to constraints imposed by formal action of the Quorum Court.
3. Assigned fund balance – amounts that are constrained by the Quorum Court's intent to be used for specific purposes, but are neither restricted nor committed.
4. Unassigned fund balance – amounts that have not been assigned to other funds and that have not been restricted, committed, or assigned to specific purposes within the general fund. This classification may also include negative amounts in other governmental funds, if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes.

D. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 15.

E. Budget Law

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the expenditures of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund, and the other operating funds.

F. Fund Balance Classification Policies and Procedures

The County's highest level of decision-making authority is its Quorum Court. The establishment of amounts classified as committed fund balances and any subsequent modifications to such balances are the result of formal action taken by the Quorum Court through passage of an ordinance. The Quorum Court is authorized to assign amounts to a specific purpose, although a formal policy has not been established.

For classification of fund balance amounts, restricted resources are considered spent before unrestricted. When expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, committed amounts are reduced first, followed by assigned amounts, and then unassigned amounts.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2016

2. Details of Fund Balance Classifications

Fund balance classifications at December 31, 2016, are composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
Fund Balances:			
Restricted for:			
General government			\$ 543,488
Law enforcement			553,932
Highways and streets		\$ 4,594,128	
Public safety			1,005,800
Recreation and culture	\$ 835		193,524
Sales taxes remitted to Economic Development Corporation			135,013
Total Restricted	<u>835</u>	<u>4,594,128</u>	<u>2,431,757</u>
Committed for:			
General government	299,516		
Law enforcement			104,330
Capital outlay			476,400
Total Committed	<u>299,516</u>		<u>580,730</u>
Assigned to:			
Law enforcement			33,966
Sanitation	860,085		
Recreation and culture			20,542
Total Assigned	<u>860,085</u>		<u>54,508</u>
Unassigned	<u>2,333,902</u>		
Totals	<u>\$ 3,494,338</u>	<u>\$ 4,594,128</u>	<u>\$ 3,066,995</u>

3. Commitments

Total commitments consist of the following at December 31, 2016:

	December 31, 2016
Long-term liabilities	\$ 776,520
Reappraisal contract	<u>659,200</u>
Total Commitments	<u>\$ 1,435,720</u>

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2016

3. Commitments (Continued)

Long-term Liabilities

Long-term liabilities at December 31, 2016, are comprised of the following:

	December 31, 2016
Landfill closure and post closure care costs	\$ 748,994
Compensated absences	27,526
Total Long-term liabilities	<u>\$ 776,520</u>

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

Landfill Closure and Postclosure Care Cost

Clark County is the owner of permit #044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and to perform certain maintenance and monitoring functions at the site for two years after closure. The County stopped accepting waste on March 31, 2015, and has not begun the final closure and postclosure functions. Although closure and postclosure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and postclosure care costs have been recognized as a commitment each year based on landfill capacity used as of the balance sheet date. The County has been approved for permits to expand the landfill for further use on April 24, 2017. The estimated commitment for the landfill closure and postclosure care costs is \$748,994 as of December 31, 2016, and represents the cumulative amount reported to date of \$450,329 based on 100% usage of the landfill as well as costs of \$298,665 for the new cell approved for use on April 24, 2017.

Estimated costs are based on the amount that would be paid if all equipment, facilities and services required to close, monitor, and maintain the landfill were acquired as of December 31, 2016. However, the actual costs of closure and postclosure may be higher due to inflation, changes in technology, or changes in landfill laws and regulations.

The County has provided financial assurance for the closure and postclosure care costs with an irrevocable letter of credit from Southern Bancorp Bank of Arkansas, dated May 23, 2014, in the amount of \$204,364 and in accordance with Ark. Code Ann. § 8-6-1603, the County has provided financial assurance of \$191,959 in the form of a Contract of Obligation dated May 14, 2014. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$191,959 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly close the disposal operation. An updated Irrevocable Contract of Obligation was signed April 13, 2017, for the sum of \$319,867 and an updated irrevocable letter of credit was obtained from Southern Bancorp Bank of Arkansas, dated April 11, 2017, for \$396,747 was performed to take into consideration the increased costs due to the new cell opened April 24, 2017.

Post Employment Benefits Other Than Pensions

The amount of any actuarially determined accrued liability for post employment benefits other than pensions was not determined.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2016

3. Commitments (Continued)

Reappraisal Contract

The County entered into a contract dated September 25, 2015, with Total Assessment Solutions Corporation for reappraisal services. The terms of the contract require \$824,000 to be paid in 60 monthly installments of \$13,733 beginning January 15, 2016. Contract expense for 2016 was \$164,800.

<u>Year</u>	<u>December 31, 2016</u>
2017	\$ 164,800
2018	164,800
2019	164,800
2020	<u>164,800</u>
Total	<u>\$ 659,200</u>

5. Interfund Transfers

The General Fund transferred \$51,000 to the Other Funds in the Aggregate (Drug Enforcement, Juvenile Probation, and District Court Jail Fee) for operating purposes.

6. Related Party Transactions

The County paid Southwest Probation Services \$19,775 for probation services in 2016. Sheriff's part-time deputy, Brady Harmon, owns Southwest Probation Services. On May 11, 2015, the County established Clark County Ordinance no. 2015-04 authorizing payment of services to Southwest Probation Services.

The County paid Clark County District Court Judge Randy Hill \$10,200 to rent office space for the Public Defender in 2016. On October 15, 2013, the County established Clark County Ordinance no. 2013-10 authorizing a lease agreement between the Public Defender and Clark County District Court Judge Randy Hill.

7. Jointly Governed Organization

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2016

7. Jointly Governed Organization (Continued)

B. Group "6" Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh and Ninth (East) Judicial Districts, the Sheriff's Departments of Clark, Grant, and Hot Spring Counties, and the Police Departments of Malvern, Sheridan, and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. The agreement covers the period July 1, 2016 to June 30, 2017, and may be extended upon written mutual agreement. Funding was provided through federal and state grants in addition to contributions from the participating entities. The County made no contributions to or on behalf of the Group "6" Narcotics Enforcement Unit in 2016. Separate financial statements for the Group "6" Narcotics Enforcement Unit are not available.

C. Southwest Arkansas Regional Intermodal Authority

Clark, Montgomery, Pike, and Dallas Counties and the Cities of Gurdon, Prescott, Glenwood, Caddo Valley, Murfreesboro, Arkadelphia, and Amity entered into an agreement on May 18, 2010, to establish the Southwest Arkansas Regional Intermodal Authority pursuant to Ark. Code Ann. §§ 14-143-101 – 14-143-129. The Authority shall be governed by a board of directors consisting of eighteen members appointed by the participants' Mayors and County Judges. Each participating City will receive one member and each County will receive two members. Annual dues are \$2,000 per county and \$1,000 per city based on \$1,000 for each board member. Dues are payable in January of each year. No payments were made by the County to the Southwest Regional Intermodal Authority other than the annual membership dues of \$2,000. Separate financial statements for the Southwest Arkansas Regional Intermodal Authority are not available.

D. Southwest Central Regional Solid Waste Management District

Pursuant to Act 752 of the Acts of Arkansas of 1991, the Southwest Central Regional Solid Waste Management District and Board were organized to protect public health and environmental quality for its service area by establishing a regional solid waste management system in Arkansas Counties of Clark, Garland, and Hot Spring. The District's board of directors is composed in accordance with the requirements of the Act and is comprised of representatives of the counties in the District and representatives of all first class cities, of all cities with a population over 2,000 and of the largest city of each county in the District. The County made no contributions to or disbursements on behalf of the District in 2016. The District paid Clark County \$10,289 for landfill services in 2016. All financial transactions are between the District and the Hot Spring County Solid Waste Authority, Inc. Separate financial statements of the Southwest Central Regional Solid Waste Management District are available at 1000 Central Avenue, Hot Springs, AR, 71903.

8. Arkansas Public Employees Retirement System

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (APERS), a cost-sharing multiple-employer defined benefit pension plan. APERS, administered by a Board of Trustees, provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for APERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, 124 W. Capitol, Suite 400, Little Rock, Arkansas 72201, by calling 1-800-682-7377, or on their website www.apers.org.

Funding Policy

APERS has contributory and non-contributory plans. Contributory members are required by State law to contribute 5% of their salary. Each participating employer is required by State law to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation. The County's contributions to the plan for the year ended June 30, 2016 were \$465,682.

Net Pension Liability

The County's proportionate share of the collective net pension liability at June 30, 2016 (actuarial valuation date and measurement date) was \$4,238,848.

CLARK COUNTY, ARKANSAS
OTHER GENERAL INFORMATION
DECEMBER 31, 2016

9. Economic Development Corporation of Clark County, Arkansas

The Economic Development Corporation of Clark County, Arkansas (EDCCC) was established as authorized by Ark. Code Ann. §§ 14-175-101 – 14-175-116. The EDCCC was incorporated as a nonprofit organization on September 11, 2007, for the purpose of securing and developing industry and fostering economic development. On June 12, 2007, a one-half cent sales and use tax was approved for a period of seven years to be used solely for economic development, and subsequently, on March 11, 2014, for an additional seven year period. Accordingly, Clark County remits to the EDCCC the revenues derived from this tax which totaled \$1,591,879 in 2016. Separate financial statements of the EDCCC are available at the Clark County Judge's Office, 401 Clay Street Arkadelphia, AR 71923.

10. Capital Assets

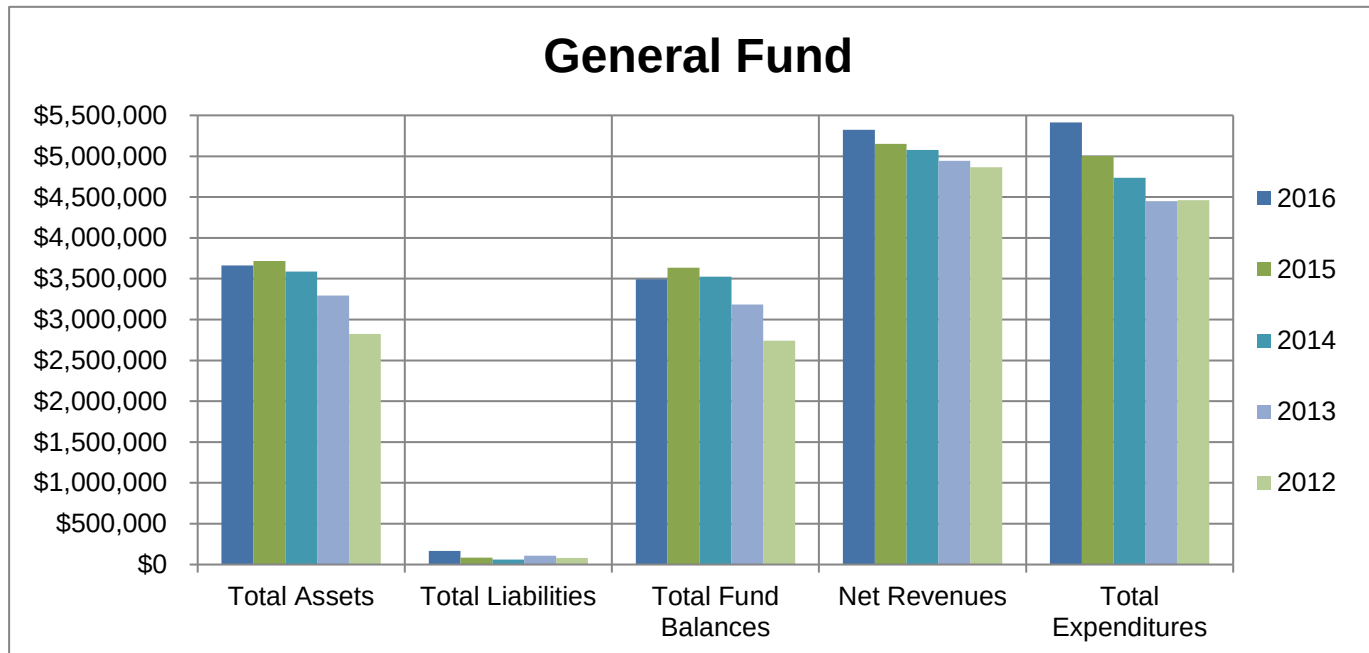
The County's capital assets records are summarized below:

	December 31, 2016
	<u> </u>
Land	\$ 513,274
Buildings	6,671,146
Infrastructure	139,962
Improvements	197,275
Equipment	<u>9,242,937</u>
Total	<u><u>\$16,764,594</u></u>

CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - GENERAL FUND - REGULATORY BASIS
DECEMBER 31, 2016
(UNAUDITED)

Schedule 3-1

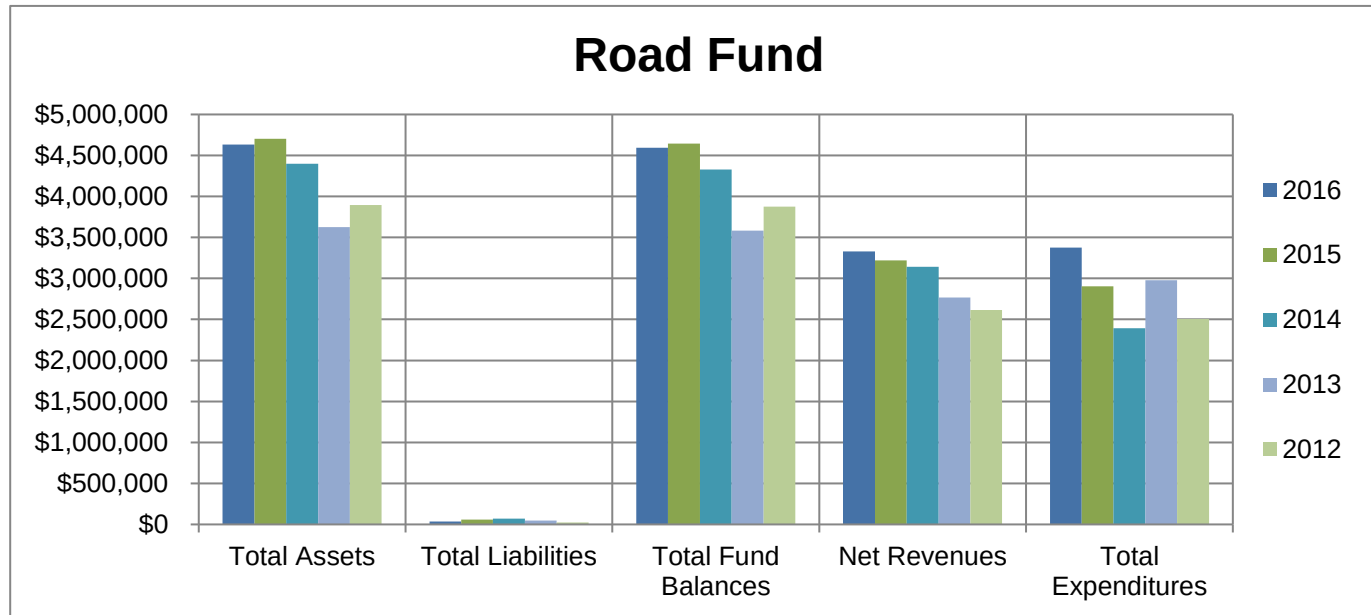
General	2016	2015	2014	2013	2012
Total Assets	\$ 3,660,254	\$ 3,716,347	\$ 3,585,598	\$ 3,293,574	\$ 2,823,262
Total Liabilities	165,916	83,521	60,967	109,122	80,767
Total Fund Balances	3,494,338	3,632,826	3,524,631	3,184,452	2,742,495
Net Revenues	5,325,003	5,150,737	5,076,316	4,941,614	4,864,864
Total Expenditures	5,412,491	5,000,567	4,736,137	4,449,567	4,461,579
Total Other Financing Sources/Uses	(51,000)	(36,738)		23,597	(6,612)



CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - ROAD FUND - REGULATORY BASIS
DECEMBER 31, 2016
(UNAUDITED)

Schedule 3-2

<u>Road</u>	<u>2016</u>	<u>2015</u>	<u>2014</u>	<u>2013</u>	<u>2012</u>
Total Assets	\$ 4,630,953	\$ 4,701,372	\$ 4,400,341	\$ 3,626,844	\$ 3,896,342
Total Liabilities	36,825	57,947	70,032	45,257	22,040
Total Fund Balances	4,594,128	4,643,425	4,330,309	3,581,587	3,874,302
Net Revenues	3,328,224	3,218,336	3,142,664	2,767,584	2,613,164
Total Expenditures	3,377,521	2,905,220	2,393,942	2,979,195	2,504,803



CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - OTHER FUNDS IN THE AGGREGATE - REGULATORY BASIS
DECEMBER 31, 2016
(UNAUDITED)

Schedule 3-3

<u>Other Funds in the Aggregate</u>	<u>2016</u>	<u>2015</u>	<u>2014</u>	<u>2013</u>	<u>2012</u>
Total Assets	\$ 4,274,996	\$ 4,162,072	\$ 4,019,540	\$ 3,904,921	\$ 4,318,936
Total Liabilities	1,208,001	1,263,141	1,150,973	1,077,725	1,377,771
Total Fund Balances	3,066,995	2,898,931	2,868,567	2,827,196	2,941,165
Net Revenues	2,954,923	3,081,471	4,152,675	2,849,340	2,590,201
Total Expenditures	1,236,544	1,638,425	2,590,132	1,443,134	1,515,333
Total Other Financing Sources/Uses	(1,540,879)	(1,406,205)	(1,521,172)	(1,522,585)	(1,454,659)

